JAIIB CAIIB
PREP

@JAIIBCAIIBPREPOFFICIAL

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PREP

Prevention of Money Laundering Act, 2002

Offence of Money Laundering (Sec. 3)

Directly / Indirectly

Attempt / indulge / Assist / Party

Involvement in any activity

Conceal
Possess
Acquire
Use

of Every Description

Property derived as a result of criminal Activity relating to Scheduled offence

Offense specified in Schedule I of the Act

And projecting it as UNTAINTED Property

Punishment for Money Laundering (Sec 4)

Whoever commits this act of Money laundering

Punishable 3-7 Years of Jail (+) Fine

If proceeds of crime involved in ML related to offence specified in PARA 2 of Part A → Offences under Narcotics Drugs & Psychotropic Substance Act, 1985

Jail Time May Exceed to 10 Years

Obligation of Bank | Reporting Entities

Clause (a) — Maintain record of its client

As may be prescribed

For a period of 5 years from the date of transaction

Clause (b) — furnish info as prescribed to Director

Clause (c) — Maintain record of doc. Evidencing identity of client & Beneficial owner of Bus. relating to its clients

Note. Records to be maintained u/d clause c to be kept for 5 year

☆ Info provided by the client should be kept CONFIDENTIAL

Negotiable Instrument Act, 1881

- Enacted to define and amend laws relating to promissory note, bills of exchange and cheque.
- This Act is applicable to whole of India including Jammu and Kashmir.
- This act came into force on 1 st March 1882

Meaning of Negotiability

Negotiable

Instrument

Negotiable Instrument

Transferability

Any Document/Piece of Paper

Kinds of Negotiable Instruments (Sec 13)

- Promissory Note- Sec 4
- Bill of Exchange- Sec 5
- Cheque- Sec 6

Characteristics of NI

Be in Writing

Freely Transferable

Create a right of a person to receive money and a corresponding liability of a person to pay money

Holder's title free from defects:

★ A holder in due course acquires a good title
★ Should Receive the instrument for
- consideration;
- without notice as to the defect in the title of the transferor; i.e. in good faith and
- before maturity

Transferability

Presumptions – Section 118

A negotiable instrument is subject to certain **presumptions** (Section 118).

a) **Consideration –**
It shall be presumed that every negotiable instrument was made or drawn for consideration, and that every such instrument when it was accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration.

b) **Date –**
It shall be presumed that every negotiable instrument bearing a date was made or drawn on such date.

c) **Time of acceptance –**
It shall be presumed that every accepted bill of exchange was accepted within a reasonable time after its date and before its maturity.

d) **Transfer –**
It shall be presumed that every transfer of the negotiable instrument was made before its maturity.

e) **Order of Indorsement –**
It shall be presumed that the indorsements were made in the order in which they appear thereon.

f) **Stamp –**
It shall be presumed that an instrument is duly signed and stamped.

The above presumptions are rebuttable by evidence to the contrary.

Promisory Note (Sec 4)

Instrument in writing containing unconditional undertaking signed by MAKER to pay certain sum of money only to or to order or to bearer of instrument.

Parties to Promisory Note

- **MAKER** → Who Make the P.N.
  - Having Primary Liability
- **PAYEE** → To whom money is to be paid

Place

Amount

Date

Stamp

I,____________ do promise to pay the sum of ₹_________ to Mr./Ms./Mrs.____________ against the value received in 5 equal installment starting from ___________.

To,

(Signed)

Name of the Payee

Name of the Maker

Address of the Payee

Address of the Maker

Essentials of a Promissory Note

Stamped

- In Writing
- Certain Sum
- Money Only
- Signed by Maker
- Express Promise to Pay
- Definite & Unconditional
- Certain Payee

Bills of Exchange (Sec 5)

Instrument in writing containing unconditional order signed by maker directing a person to pay certain money to or to order or to be bearer of instrument.

Parties to Bill of Exch.

- **Drawer**
  - Who draws the bill & has secondary liab.
- **Drawee**
  - On whom the bill is drawn
  - on Acceptance
  - Becomes Acceptor (has Primary liab.)
- **Payee**
  - To whom money is paid

Essentials of B.E

Stamped

- In Writing
- Express Order to pay
- Certain Sum
- Definite & Unconditional
- Money Only
- Certain Payee, Drawer, Drawee
- Signed by Maker

Acceptance of Bill

When Drawee Signs the Bill & Delivers it to Holder

He becomes acceptor & liable

Acceptance must be without Qualification

If Qualified then

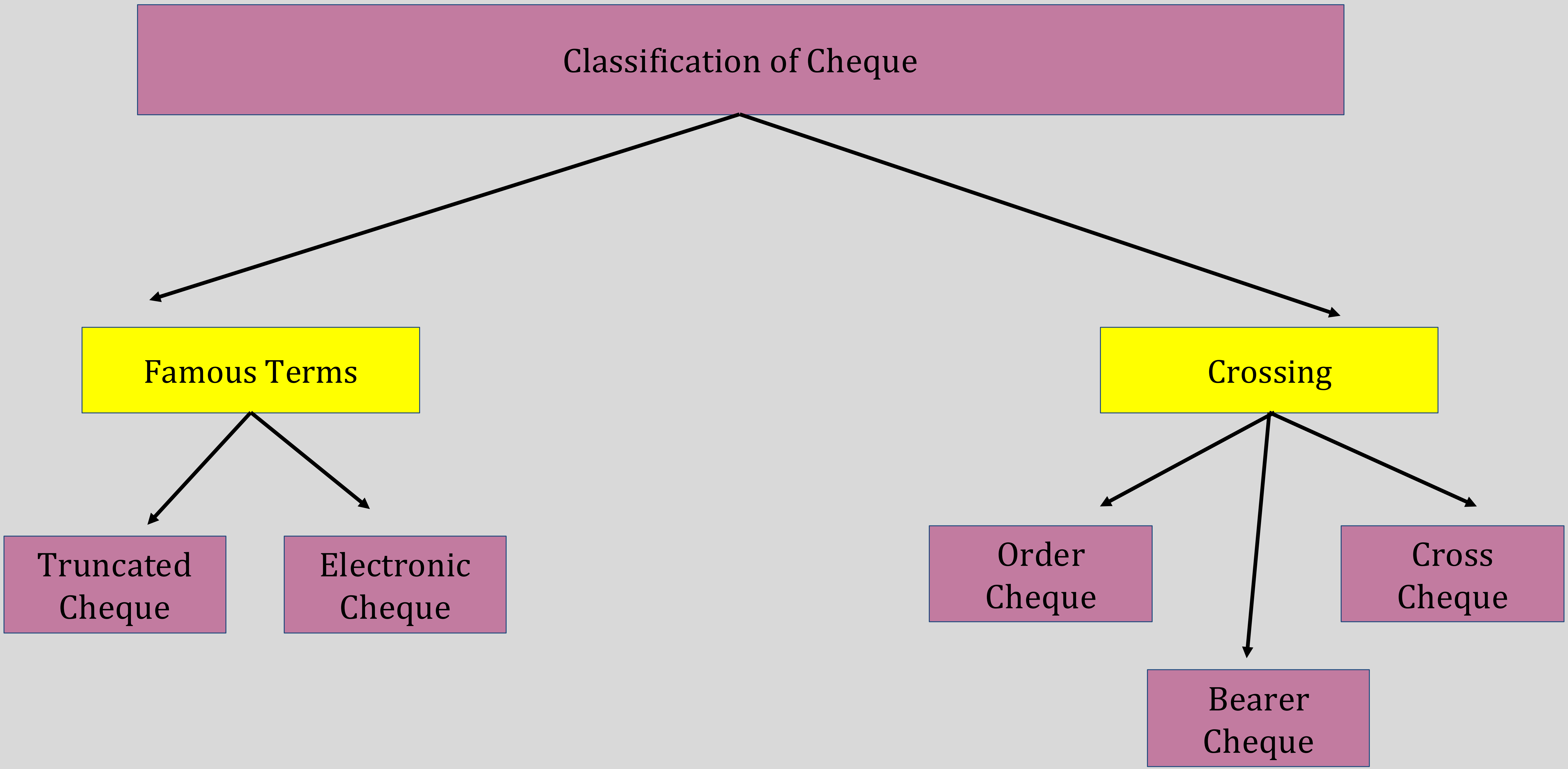
If Holder

Agrees

All previous Parties not Consenting to it are DISCHARGED

Doesn't Agree

Bill dishonoured due to Non-Acceptance


Classification of Cheque
Famous Terms
Crossing
Truncated Cheque
Electronic Cheque
Order Cheque
Cross Cheque
Bearer Cheque


भारतीय स्टेट बैंक
State Bank Of India
New Delhi
Kapil Bazar NH, 65 Ram Ghat
Mahadev Road - 110025
IFC CODE - SBIN0011256
VALID FOR 3 MONTHS ONLY
0 1 0 1 2 0 2 0
D D M M Y Y Y Y
PAY Teach Lane
को या उनके आदेश पर OR ORDER
रुपये RUPEES Five Thousand Only
अदा करें
₹ 5000/-
A/c No. 8563261452630
VALID FOR Rs. 1000000/- & UNDER
Prefix :
1515900002
Here Signature
Dipak Das
Please sign above
MULTI-CITY CHEQUE Payable at Par at All Branches of SBI
Cheque No
MICR Code
RBI A/C NO
Transation Code

Cheque (Sec 6)

Bill of Exchange drawn on specified banker payable on Demand

(Inc. Electronic & Truncated cheque)

Parties

- **Drawer** — Who makes the cheque
- **Drawee** — Bank on whom cheque is drawn
- **Payee** — Person to whom Money is to be paid

Essentials of B E

Payable on Demand

- In writing
- Express Order to pay
- Certain Sum
- Definite & Unconditional
- Money Only
- Drawn on Specified Banker
- Signed by Drawer

Payment in Due Course (Sec 10)

- Apparent Tenor
- Good Faith
- Without Negligence
- In possession
- In money only

Protection to Paying Banker

Banker making payment of cheque

No liability of Paying Banker if:

- **In case of Order cheque**
  - If payment made in due course to Indorsee
- **In case of Bearer cheque**
  - If payment made in due course to Bearer
- **In case of Generally crossed cheque**
  - If payment made in due course to a Banker
- **In case of specially crossed cheque**
  - If payment made in due course to a specified Banker

Protection to Collecting Banker

Banker's liab. of rec. payment doesn't arise, If

* Banker rec. payment of crossed cheque
* Collected on Behalf of customer
* In good faith without Negligence

Material Alteration

As per decided cases, an alteration in a Negotiable Instrument is material, which **substantially alters the instrument and the liabilities of the parties to it**, irrespective, of whether the alteration is beneficial or prejudicial to the payee.

History of FEMA

FERA, 1947

Was Introduced for a 10 Years

Became a permanent statute in 1957

FERA, 1973

FEMA, 1999

1 June, 2000

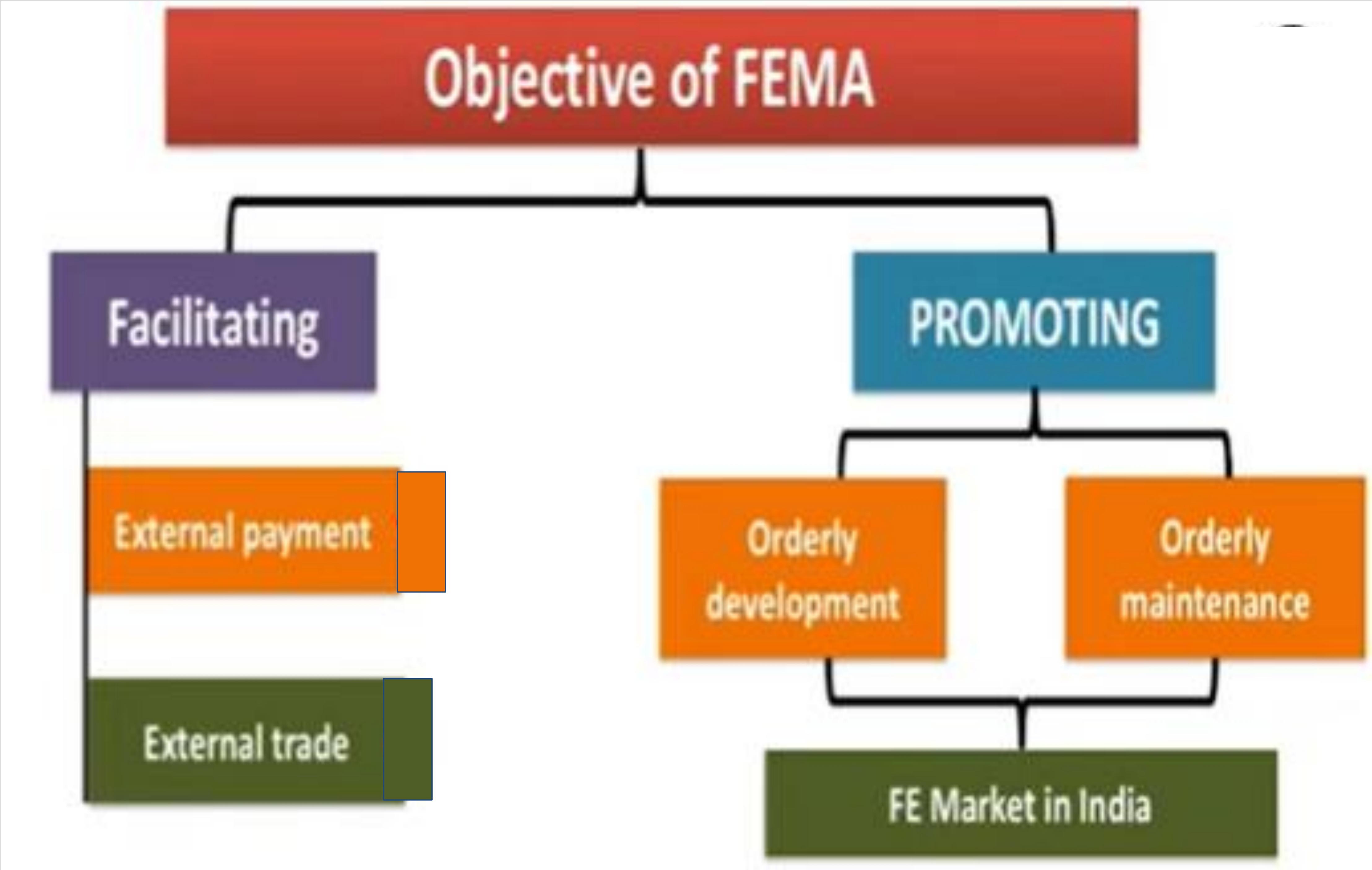
Difference

FERA	FEMA
1) To conserve the foreign exchange resources.	1) To promote orderly development and maintenance of foreign exchange market.
2) To control foreign exchange transactions	2) To manage foreign exchange transactions
3) Containing 81 sections	3) Containing only 49 sections
4) No compounding could be there	4) Compounding is allowed.

Cases Registered under FEMA for some Celebrities

Some interestin
g Fact

Government Departments under FEMA


Objective of FEMA
Facilitating
PROMOTING
External payment
External trade
Orderly development
Orderly maintenance
FE Market in India

Powers of RBI with Respect to Authorized persons

- To appoint authorised Person
- To inspect the authorised Person

Objectives of Fema

- Facilitating
  - External payment
  - External Trade
- Promoting
  - Orderly Development
  - Orderly Maintenance
    - FE Market in India

Some Important Def / Concepts

Capital Account

Transaction

+ or −

Assets / Liab.

- PRI A&L Outside India
- Or
- In India of a P Outside India

Current Acc.

Transaction

Other than Capital A/c

- Payments due with respect to the foreign trade done, other business, services, and short-term banking and credit facilities in the ordinary course of business;
- Payments due as interest on loans and as income from investments;
- Remittances for living expenses of parents, spouse and children residing abroad; and
- Expenses in connection with foreign travel, education and medical care of parents, spouse and children.

Person

(i) an individual;
(ii) a Hindu Undivided Family;
(iii) a company;
(iv) a firm;
(v) an association of persons or a body of individuals, whether incorporated or not;
(vi) every artificial juridical person; and
(vii) any agency, office or branch owned or controlled by such person.

Person Res. in IV

#

Residential Status

Person Resident in India (PRI)

Person residing O/s India (PROI)

Living in India for 182 or more in PY

(ii) any person or body corporate registered or incorporated in India;

(iii) an office, branch or agency in India owned or controlled by a person resident outside India;

(iv) An office, branch or agency outside India owned or controlled by a person

(v) Resident in India. Accordingly, a **'person resident outside India'** means a person who is not resident in India as above.

Restrictions on FE

Dealing in FE (sec 3)

NO PERSON SHALL:

- Deal in FE other than Authorized Person (AP)
- Make payment to PROI in any manner
- Rec from PROI other than AP
- Enter into Transaction for Acq. of Assets O/S India

Except for trans. that are allowed u/d Act, Rules etc

Holding of FE (Sec 4)

PRI

shall not

- Acquire
- Hold
- Own
- Possess
- Transfer

FE, Security or Immovable property

Outside India

Though other prov. of the Act may permit this

Contravention under FEMA

Attract Penal Provision [Inc. Arrest & Detention]

Fine

Quantifiable

Thrice the sum involved in Contravention

Not Quantifiable

2 lakh rupees

where such contravention is a continuing one, further penalty which may extend to five thousand rupees for every day after the first day during which the contravention continues.

Directorate of Enforcement

Estd. by Central Government

WITH

Director

Other Officers

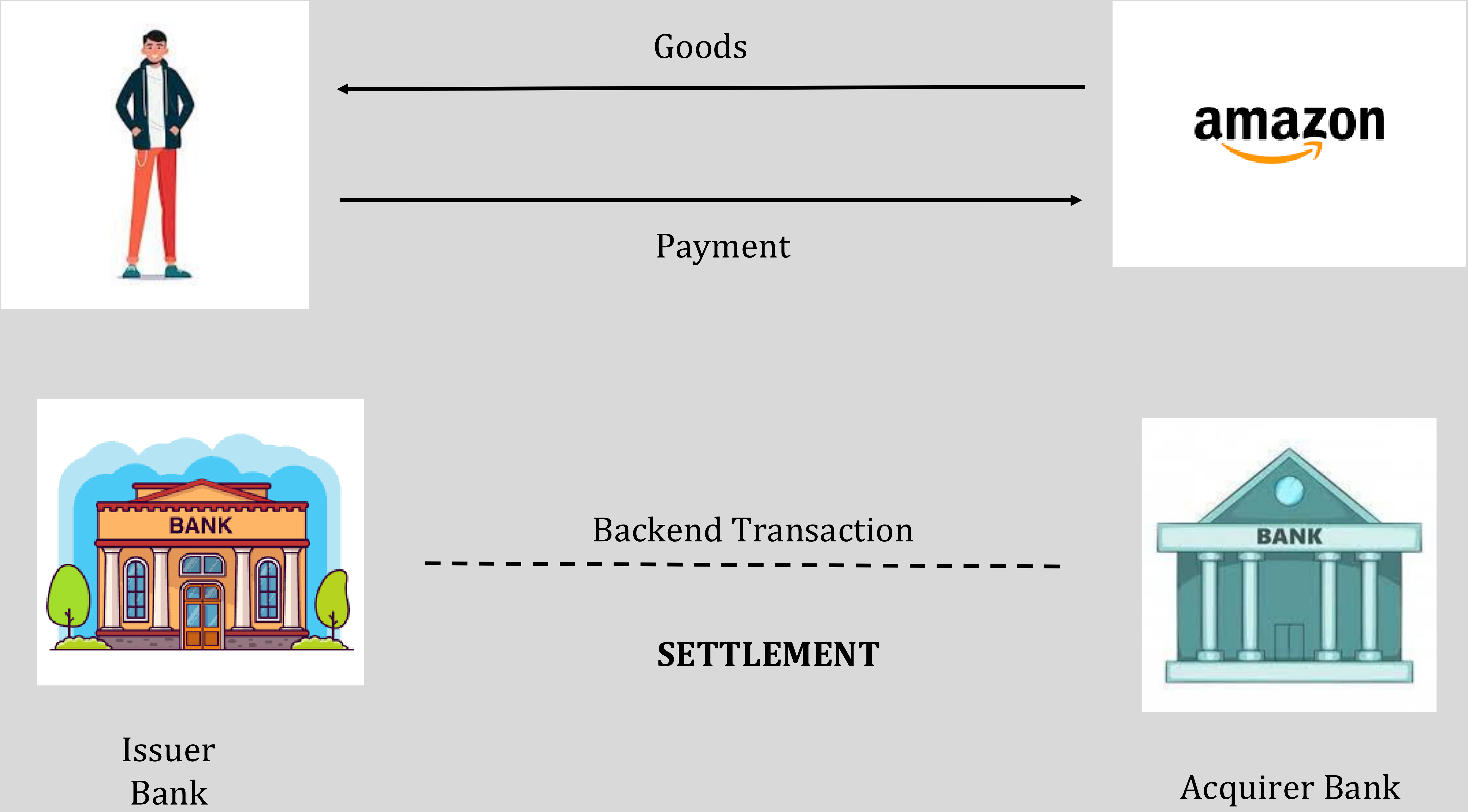
Called as

Officers of Enforcement

Who can Investigate Contravention

Not Below the Rank of an Assistant Director

If CG/SG/RBI appoints : Not Below the rank of an Under Secretary to investigate contraventions


Goods
amazon
Payment
BANK
Backend Transaction
SETTLEMENT
BANK
Issuer
Bank
Acquirer Bank

When an electronic Fund is transferred

System Provider

Who operates the system
For Eg: Clearing Corporation of India
Card Paying Networks
National Payment Corporation of India

System Participant

When the money is transferred few parties become party to it. For Eg:
System Provider
Remitter
Beneficiary

Payment & Settlement System Act, 2007

- C.i. effect from 12 Aug, 08
- Extends to Whole of India
- Designated Authority: RBI

∴

RBI's Authorization

Mandatory to

Commence & Continue

operations of Payment System

RBI's Authorization — May — Grant or Reject

Endeavour to dispose w/i 6 months

Reject → Appeal → C G

w/i 30 Days from communication from RBI

Decision is Final

Endeavour to dispose off the appeal w/i 3 Months

Unit 12: Law Relating to Securities & Mode of Charge-I

Mortgage → Transfer of Interest $\xrightarrow{\text{in}}$ IMMOVABLE Property $\xrightarrow{\text{to}}$ Secure LOAN

or

An Existing Debt

or

A future Debt

or

Performance of an obligation

TPA, contemplate 6 types of Mortgages

- Simple Mortgage
- Mortgage by Conditional Sale
- Usufructuary Mortgage
- English Mortgage
- Equitable Mortgage
- Anomalous Mortgage

Mortgage

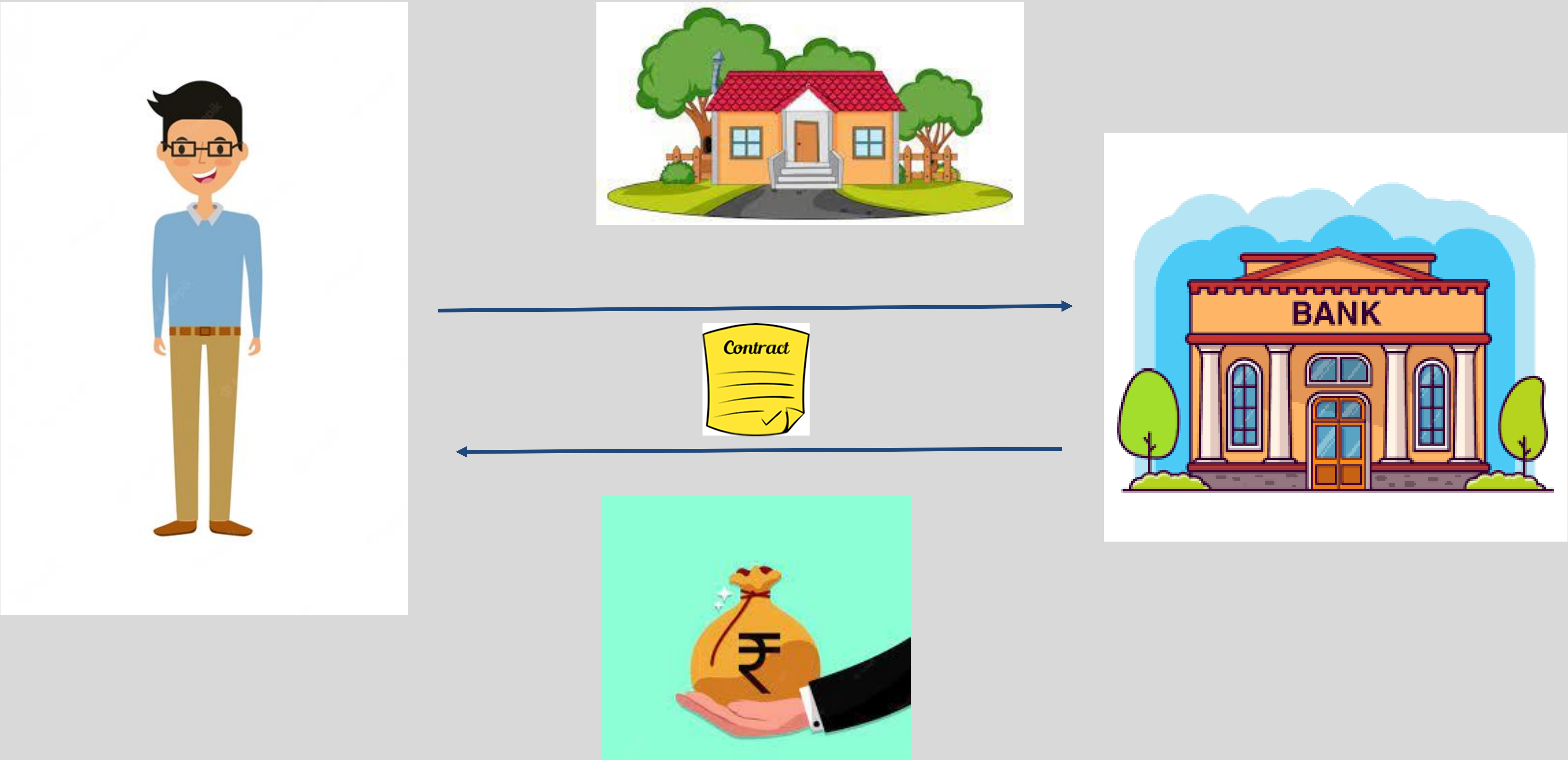
Interest

Bundle of rights transfer

Sale

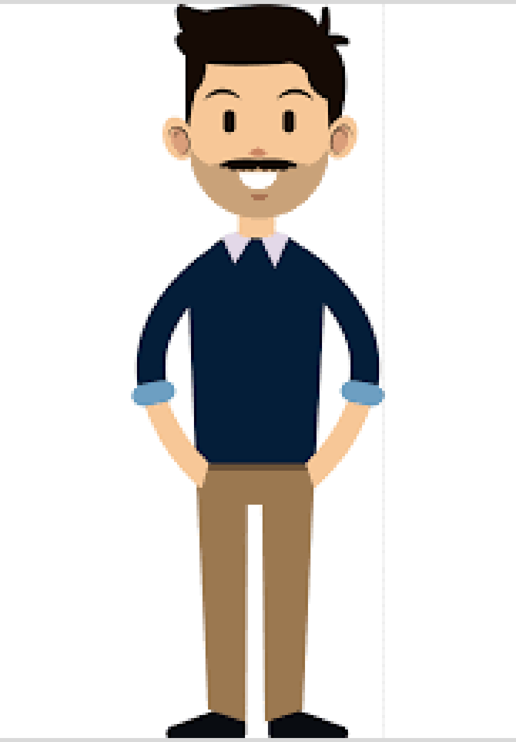
Ownership

Absolute right to alienate


Contract
BANK

Simple Mortgage

Common in India

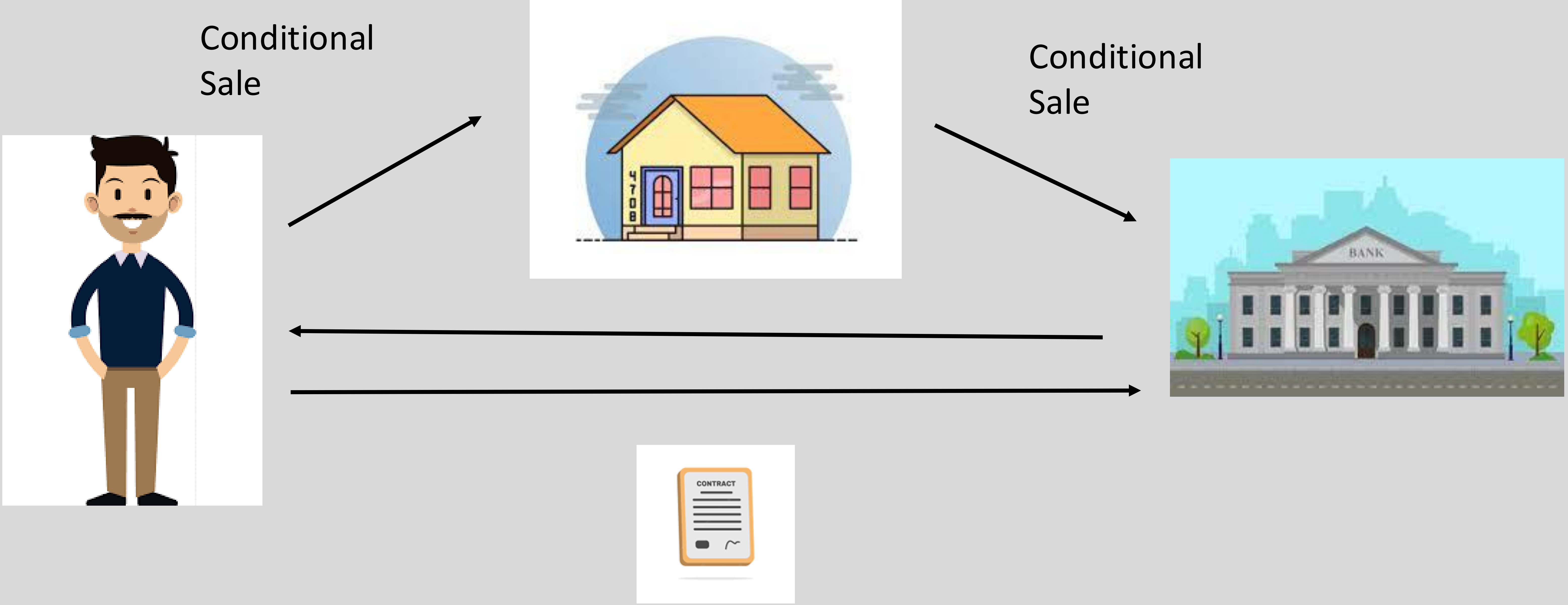


Ownership &
Possession

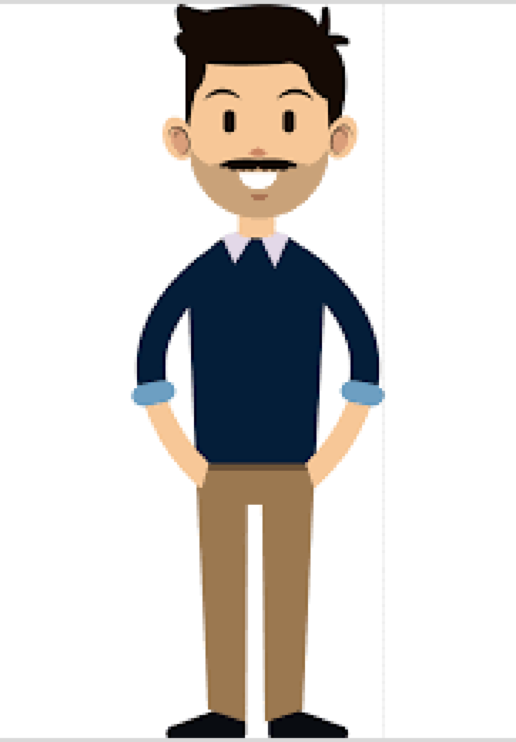
Interest
Right to Sell

This Lender is Simple Mortgage

Mortgage by Conditional Sale



Usufructuary Mortgage

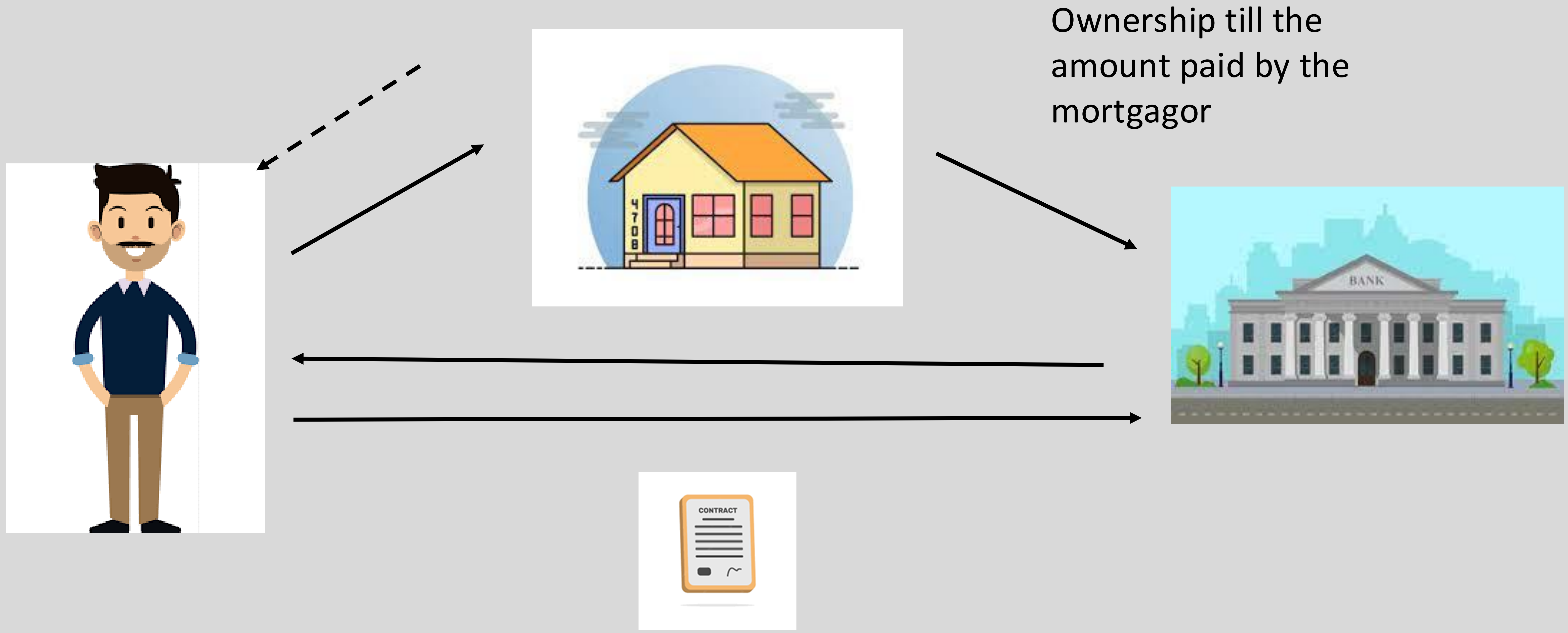


Possession
-Now
-Or in future as per the mortgage deed

In case of any rent receivable, rent also

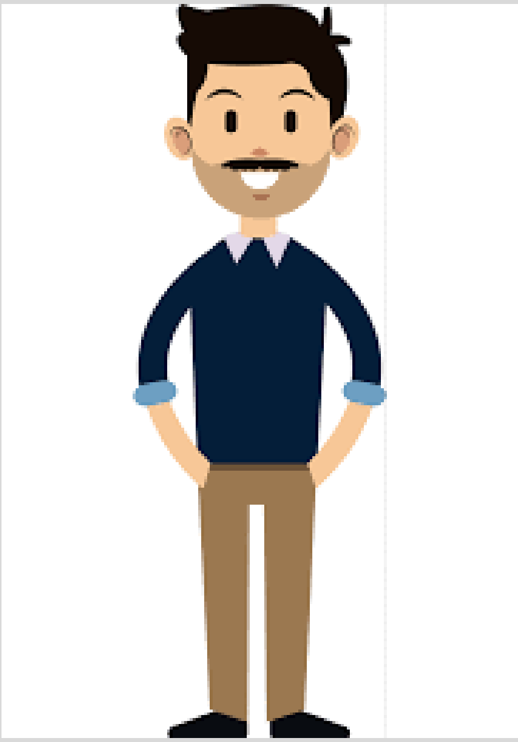
This Lender is Usufructuary Mortgage

English Mortgage



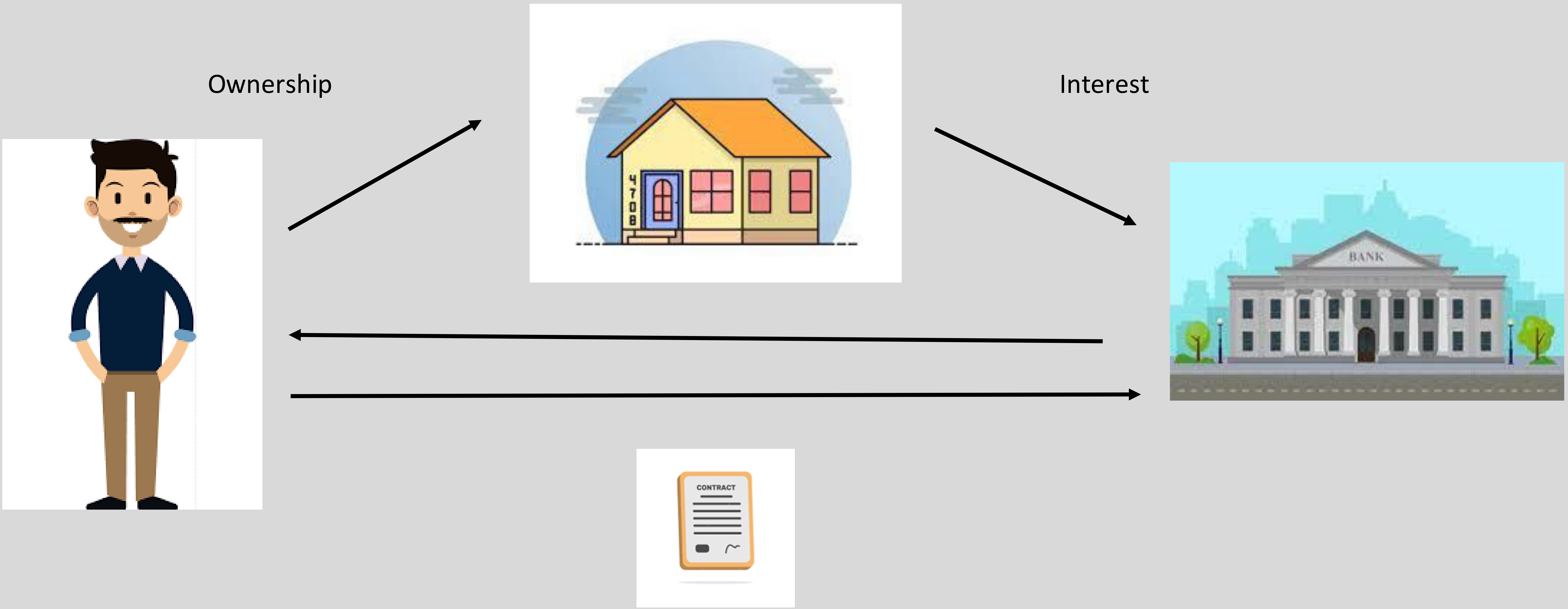
Mortgage by Deposit of Title of Deed

Most Common in India



Title Deed

Anomalous Mortgage



Some Important Points:

The rule of priority in case of successive mortgages is in the order of time they are created.

Limitation period for filing a suit for sale of mortgaged property is twelve years when the money sued for becomes due.

Limitation period for filing a suit for foreclosure is thirty years from the date mortgage debt becomes due.

Enforcement of mortgage is governed by the Code of Civil Procedure, 1908. Suit for sale of mortgaged properties are to be filed in the Court, within whose jurisdiction the mortgage property is situated.

In a suit for sale, of mortgaged properties, the Court first passes a preliminary decree and thereafter a final decree.

Document of title to immoveable property has been defined by courts such as the one in the case of Syndicate Bank vs Modern Tile and Clay Works (1980 KCT 550) where in the decision it was inter alia stated that document of title means" the legal instruments which prove the right of a person in a particular property….."

A copy of a deed of transfer is not considered to be a document of title for the purpose of creation of an equitable mortgage. However under certain circumstances, which have been enumerated in court cases, a copy of the title deeds may be accepted as documents of title to immoveable property.

Unit 13: Law relating to Securities & Mode of Charge - II

- The right of appropriation available with lenders and how actionable claims are transferred in assignment.
- Bankers lien and set-off and the law relating to security of pledge and hypothecation

Indian Contract Act, 1872

1

2

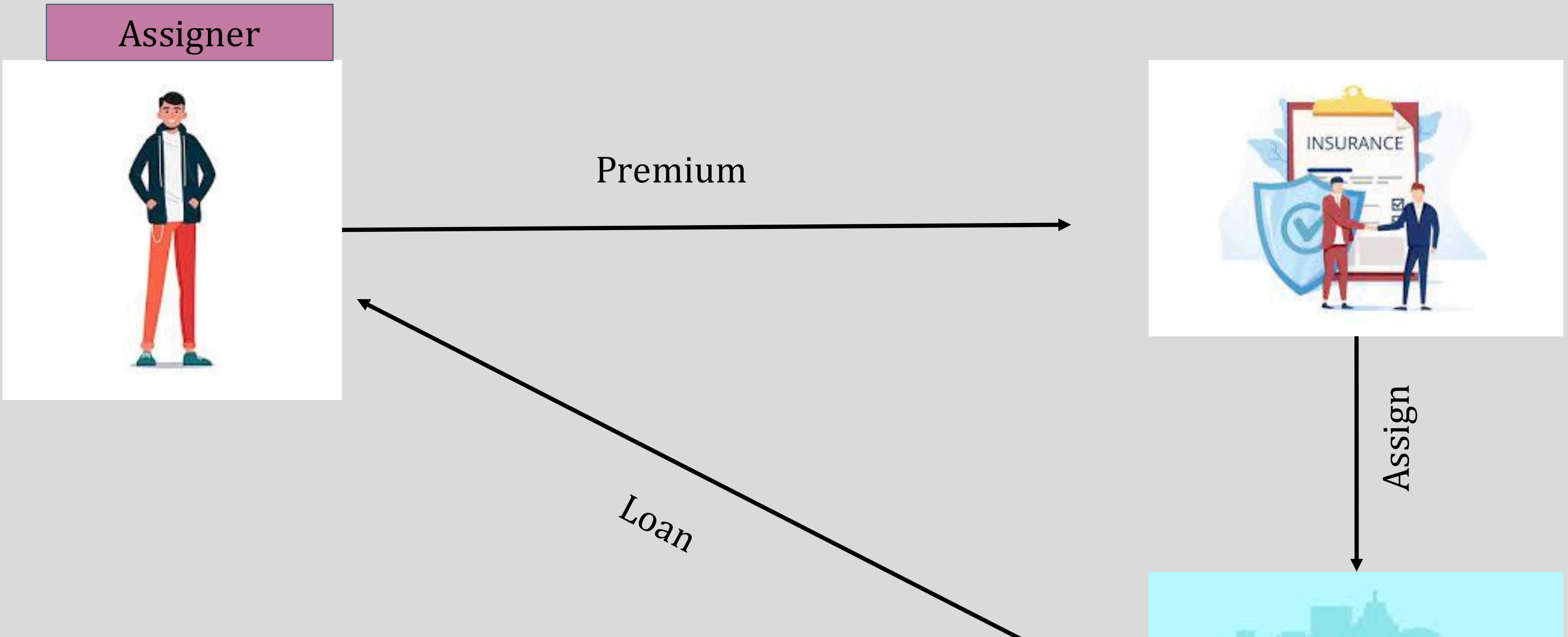
3

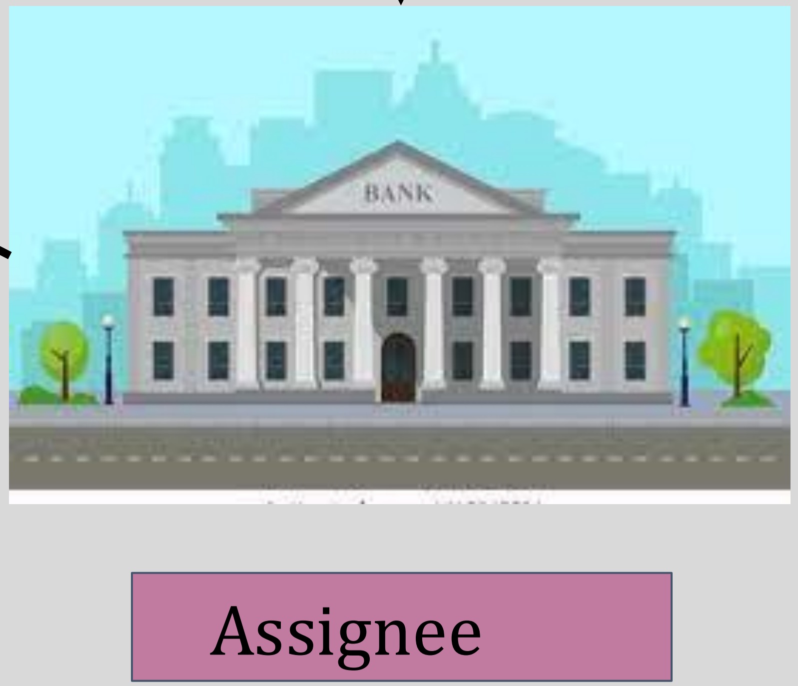
First for loan amount

Right of Appropriation

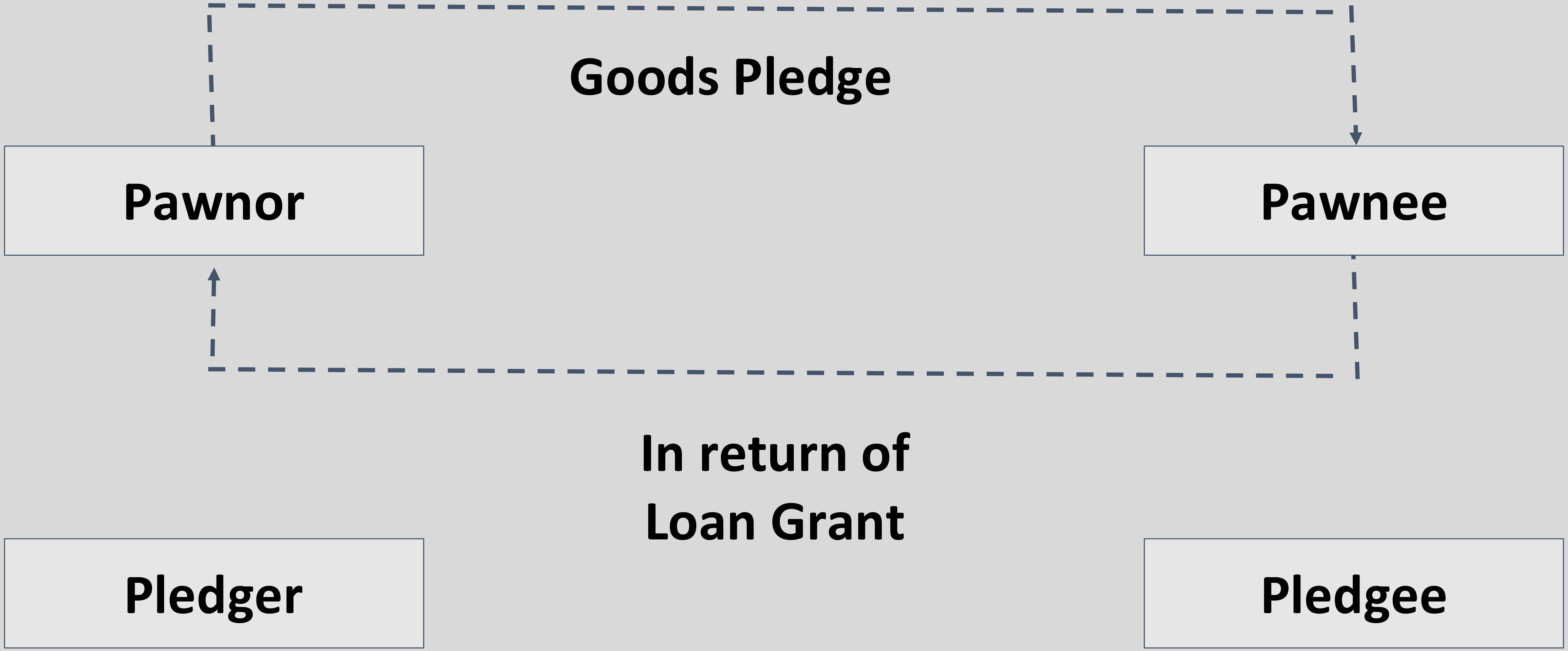
In order of sequence of loan

If clear instructions by borrower is not given





The term Assignment means the process by which a person, called the assignor, prefers to transfer rights or benefits to another person, called the assignee. In India actionable claims are assigned and Section 130 of the Transfer of Property Act 1882 provides the rules for transfer of actionable claims. Normally as per the law the assignee can only have rights equal to that of the assignor and cannot have better rights, with certain exceptions.


Goods Pledge
Pawnor
Pawnee
In return of
Loan Grant
Pledger
Pledgee

- The mortgage of moveable property is called ‘Hypothecation’.
- Set-off is the right of a debtor to take into account a debt owing to him by a creditor, when claiming a debt due from him to the creditor.

Unit 14 : Creation, Registration & Satisfaction of Charges

[Co. Act, 2013]

Charge [Sec 2(16)]

means

An Int / Lien

created on a

Property or **Asset**

of Co.
or any of
its Undertaking
or both

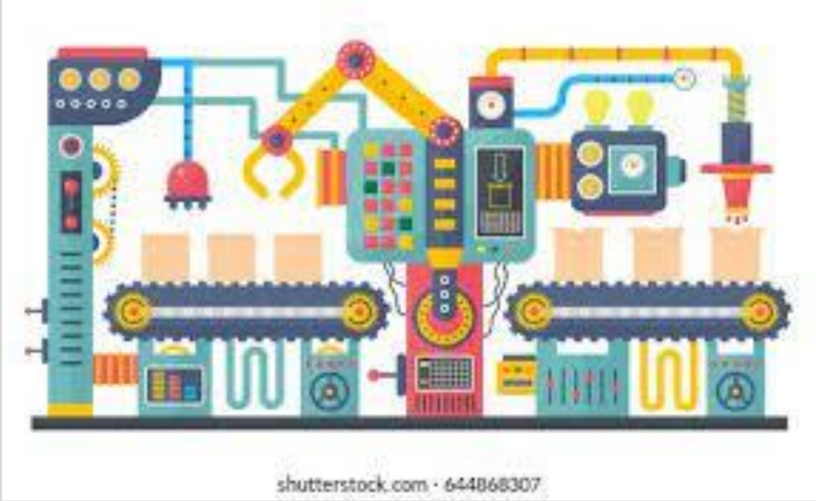
AS SECURITY
(Inc. Mortgage)

Some Imp. points related to CHARGE

- All types of charges are required to be registered
  - with
  - Registrar of Companies
  - Though there are certain Exemptions
- Charges can be
  - Fixed or Floating
- Charges to be Registered
  - w/i
  - 30 Days
  - from
  - On creation of charge
- If charges are Not Registered the same is INVALID u/d
  - IBC
  - Winding of co. etc
- Sec 77-87 of Co. Act
  - Deal with
  - Law regarding Registration of Charges

Fixed Charges

Fixed Assets



Collateral

Loan

Floating Charges

Current Assets

Collateral

Loan

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